



Stock Analysis Report — V2

Multi-Step Reasoning | Quality Validated | Peer Reviewed

Generated: 2026-03-15

Current Price	Market Cap	P/E Ratio	Sector
\$391.20	\$1.47T	355.6	Consumer Cyclical

Investment Rating: Hold

Tesla's current valuation reflects its strong brand and market position, but near-term challenges and competitive threats warrant caution. Investors should monitor Tesla's ability to innovate and maintain its market share.

1. Company Overview

Tesla, Inc. is a leading player in the electric vehicle (EV) industry, designing, manufacturing, and selling electric cars and energy storage products globally. The company operates in two primary segments: Automotive, which includes the sale of electric vehicles and related services, and Energy Generation and Storage, which covers solar energy and battery products. Tesla's market position is bolstered by its strong brand recognition, innovative technology, and extensive Supercharger network, which enhances the convenience and appeal of its products. The company's competitive moats include its vertically integrated business model and its significant investments in battery technology and autonomous driving capabilities.

2. Fundamental Analysis

Key Financial Metrics

Metric	Value	Metric	Value
Market Cap	\$1.47T	Revenue	\$94.83B
P/E (TTM)	355.6	Net Income	\$3.79B
P/E (Fwd)	139.19579	EBITDA	\$10.50B
P/B Ratio	17.865461	EPS (TTM)	\$1.1
PEG Ratio	None	EPS (Fwd)	\$2.81043
Profit Margin	4.0%	ROE	4.9%
Op. Margin	4.7%	ROA	2.1%
D/E Ratio	17.763	Current Ratio	2.164
Div. Yield	N/A	Rev. Growth	-3.1%

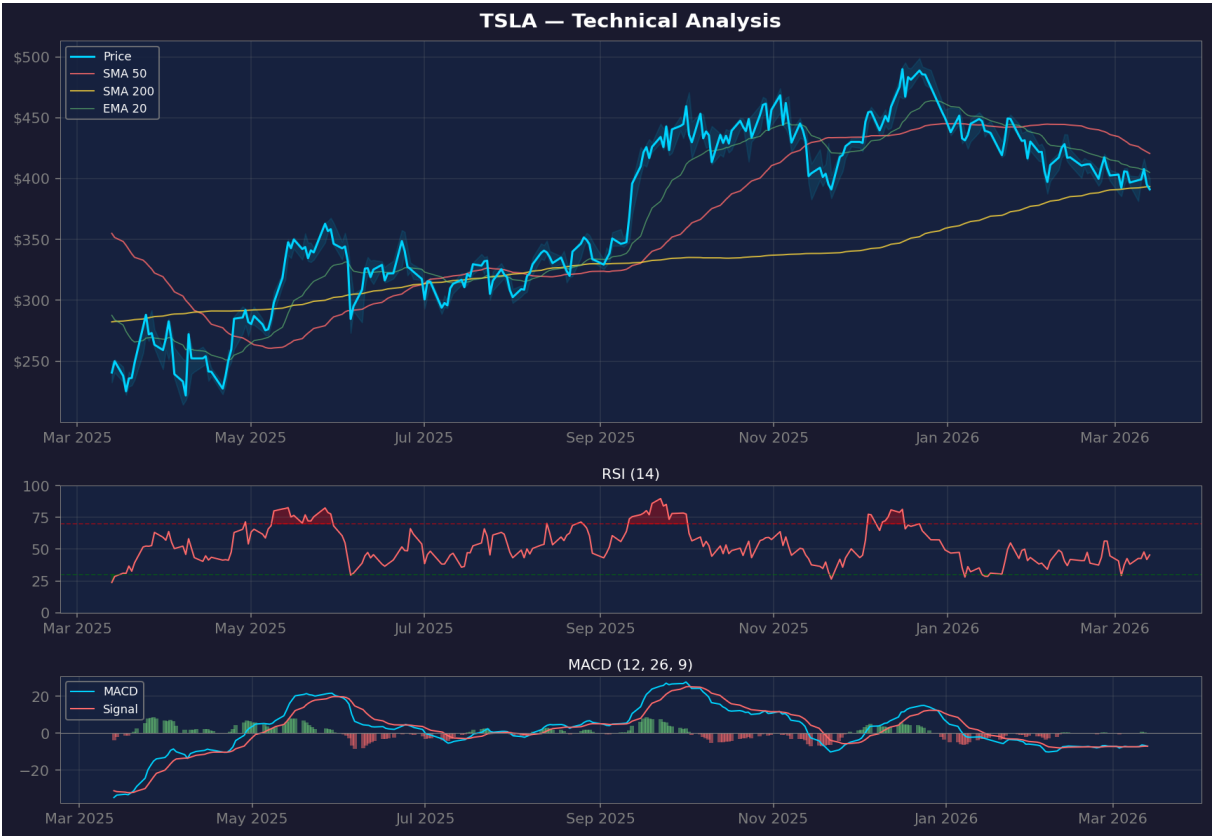
Tesla's profitability metrics reveal some challenges. The profit margin stands at 4.00%, and the operating margin is slightly higher at 4.70%. These margins are relatively low compared to industry standards, indicating limited pricing power or high operational costs. The return on equity (ROE) is 4.93%, and return on assets (ROA) is 2.10%, suggesting modest efficiency in using shareholder equity and assets to generate profits.

In terms of growth, Tesla's revenue has shown a declining trend, with a decrease from \$97.69B in 2024 to \$94.83B in 2025, marking a -3.10% revenue growth rate. Earnings have also significantly declined, from \$15.00B in 2023 to \$3.79B in 2025, a -60.60% drop, indicating substantial earnings volatility and potential challenges in sustaining growth.

Valuation metrics suggest that Tesla's current P/E ratio of 355.63635 is exceptionally high, even when considering its forward P/E of 139.19579. This high valuation may not be justified given the declining earnings and revenue growth, and it is significantly above the average for the auto industry, suggesting that the market has high expectations for Tesla's future performance.

Tesla's balance sheet is relatively strong, with a debt/equity ratio of 17.763, indicating low leverage. The company holds \$44.06B in cash against \$14.72B in total debt, providing a solid liquidity position. The current ratio of 2.164 further supports its short-term financial stability, indicating that Tesla can comfortably cover its short-term liabilities.

3. Technical Analysis



Indicator	Value	Signal
Trend	Bearish	—
SMA 50	\$420.64	Below
SMA 200	\$393.45	Below
RSI (14)	45.44	Neutral
MACD	-7.0343	Bearish
Support	\$387.53	—
Resistance	\$467.45	—

The current trend for TSLA is bearish, as indicated by the current price of \$391.2 being below both the 50-day SMA (\$420.64) and the 200-day SMA (\$393.45). This crossover of the short-term moving average below the long-term moving average is a classic bearish signal, suggesting continued downward pressure. The EMA 20 at \$405.04 also reinforces this bearish sentiment as the price remains below this level. Momentum indicators provide further insight into the near-term direction. The RSI at 45.44 is in neutral territory but leaning towards the lower end, which suggests a lack of bullish momentum and potential for further downside. The MACD, with a value of -7.0343 compared to the signal line at -7.0137, also indicates bearish momentum, as it remains below the signal line, albeit with a slight convergence that could hint at a potential, albeit weak, reversal. Key levels to watch include the support at \$387.53 and resistance at \$467.45. A breakdown below the support level could lead to further declines, potentially targeting the next significant support level around \$350. Conversely, if the price manages to break above the resistance at \$467.45, it could signal a reversal and target the next resistance level near the 52-week high of \$498.83.

4. Competitor Comparison

Tesla (TSLA) is often compared to other electric vehicle (EV) manufacturers such as Rivian and BYD. In terms of valuation, Tesla's price-to-earnings (P/E) and price-to-sales (P/S) ratios have historically been higher than traditional automakers, reflecting investor expectations of high growth and innovation. However, with recent declines in earnings and revenue growth, these valuations may appear stretched compared to competitors like BYD, which is aggressively expanding its market share and technological capabilities, including recent advancements in fast-charging technology. In terms of growth, Tesla's recent performance has been declining, whereas competitors like BYD are showing strong growth, particularly in China, a key EV market. Tesla's margins have been a strong point historically, supported by its brand and scale, but increasing competition and production costs could pressure these margins. Tesla's competitive advantage lies in its brand recognition, extensive Supercharger network, and vertical integration, but it faces disadvantages from rising competition and potential market saturation in key regions.

5. Sector Outlook

Period	XLY	S&P 500	vs. Market
1 Year	13.3%	18.8%	-5.5%
3 Years	60.6%	73.4%	-12.8%
5 Years	39.0%	78.6%	-39.6%

The Consumer Cyclical sector, represented by the XLY ETF, has underperformed the S&P; 500 over the past 1, 3, and 5-year periods, with recent negative returns over the past six months. The sector's 1-year return of 13.26% lags behind the S&P; 500's 18.81%, indicating a challenging environment for consumer discretionary stocks, including automotive companies. Key tailwinds for the sector in the next 1-5 years include technological advancements in EVs, increasing consumer interest in sustainable products, and potential government incentives for green energy and transportation. However, key headwinds include economic uncertainty, potential recessions impacting consumer spending, supply chain disruptions, and intensifying competition in the EV space, which could compress margins and market share for established players like Tesla.

6. News Sentiment

Recent news sentiment for Tesla appears mixed. Positive developments include Elon Musk's focus on productivity enhancements through AI and robotics, and the upcoming launch of Tesla's mega AI chip fab project, which could bolster Tesla's technological edge. However, there are concerns about competition, particularly with BYD's announcement of 5-minute EV charging, which could challenge Tesla's technological leadership. Additionally, the financial market's reaction to Tesla's stock performance post-split and the broader economic environment could be influencing investor sentiment. Overall, while there are positive catalysts, such as technological advancements, competitive pressures and financial performance concerns create a balanced outlook.

7. Price Forecast

Current Price: \$391.2

Timeframe	■ Bear Case	■ Base Case	■ Bull Case
1 Year	\$320.45	\$450.67	\$580.23
3 Years	\$250.78	\$600.89	\$870.5
5 Years	\$180.34	\$802.34	\$1305.75

1-Year Outlook: The 1-year forecast considers Tesla's potential to overcome current challenges with a focus on innovation and market expansion, while accounting for bearish market sentiment.

3-Year Outlook: The 3-year outlook reflects compounded growth expectations, with the bull case assuming Tesla regains strong market position and the bear case considering continued competitive pressures.

5-Year Outlook: Over 5 years, the scenarios reflect varying degrees of Tesla's ability to innovate and capture market share amidst evolving industry dynamics.

Valuation Math (EPS × P/E)

Period	Scenario	EPS Growth	Proj. EPS	P/E	Target
1Y	Bull	0.15	\$3.23197	179.5x	\$580.23
1Y	Base	0.05	\$2.95095	152.7x	\$450.67
1Y	Bear	-0.05	\$2.66991	120.0x	\$320.45
3Y	Bull	0.2	\$4.8578	179.2x	\$870.5
3Y	Base	0.1	\$3.73382	161.0x	\$600.89
3Y	Bear	-0.02	\$2.66106	94.3x	\$250.78
5Y	Bull	0.25	\$6.8652	190.2x	\$1305.75
5Y	Base	0.12	\$4.95717	161.9x	\$802.34
5Y	Bear	-0.05	\$2.19386	82.2x	\$180.34

8. Senior PM Review

Reviewer Confidence: Low — Given the gaps in the analysis and the overly optimistic assumptions, my confidence in this analysis is low.

The analysis provides a comprehensive overview of Tesla's current financial and market position, but there are several significant gaps and overly optimistic assumptions that undermine its reliability for making informed investment decisions. While the report highlights some key metrics and potential risks, it lacks depth in certain areas and fails to consider broader market dynamics and potential external shocks that could impact Tesla's performance.

Forecast Review:

The price targets seem to be based on unrealistic EPS growth rates and assumed P/E ratios. Given Tesla's current financial challenges and high valuation, assuming such high P/E multiples is speculative and not sufficiently justified by the analysis. The analyst appears too optimistic about Tesla's ability to achieve high growth rates in the face of declining revenue and earnings. Furthermore, the lack of a detailed scenario analysis or sensitivity analysis makes it difficult to assess the robustness of these forecasts under different market conditions.

Weaknesses Identified:

- The analysis does not adequately address the reasons behind Tesla's declining revenue and earnings, which is crucial for understanding future performance.
- Assumptions for EPS growth and P/E ratios in the price forecasts appear overly optimistic given the current bearish trend and declining financial performance.
- The technical analysis section lacks depth, particularly in explaining the implications of the RSI and MACD indicators, and does not consider potential reversal patterns or support levels.

Additional Risks (from reviewer):

- The analysis does not consider the impact of potential macroeconomic factors such as interest rate changes or global economic slowdowns, which could significantly affect Tesla's sales and profitability.
- There is no discussion of potential internal challenges, such as management changes or strategic missteps, which could impact Tesla's operational efficiency and market position.

Key Question for Investors: What are the underlying causes of Tesla's recent revenue and earnings decline, and how likely is the company to overcome these challenges in the current competitive and economic environment?

9. Risk Factors

1. Risk 1: Competitive pressure from established and emerging EV manufacturers could erode Tesla's market share.
2. Risk 2: Economic downturns or shifts in consumer preferences could reduce demand for premium electric vehicles.
3. Risk 3: Regulatory changes, particularly in key markets like China and Europe, could impact Tesla's operations and profitability.
4. Risk 4: Supply chain disruptions or increases in raw material costs could affect production and margins.
5. Risk 5: Technological advancements by competitors could outpace Tesla's innovation, affecting its market leadership.

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